

when the boom would end and another replying that it would not happen in the foreseeable future. He said it so forcefully that a couple of others sought tips from this individual and bought shares. To their horror, these shares fell by 300% within six months. Also, you must not get carried away by television interviews and newspaper reports. You should remember that these authorities are usually as clueless as you are. If they could actually see the future so clearly, would they be sharing their knowledge with you? They'd be out there making a killing by either selling or buying shares. They are not humanitarians who'd want you to grow wealthy with them.

Claud Cockburn, writing for the *Times of London* from New York described the irrational exuberance that gripped the United States prior to the Great Depression. He wrote: "The atmosphere of the great boom was savagely exciting, but there were times when a person with my European background felt alarmingly lonely. He would have liked to believe, as these people believed, in the eternal upswing of the big bull market or else to meet just one person with whom he might discuss some general doubts without being regarded as an imbecile or a person of deliberately evil intent — some kind of anarchist, perhaps."

The greatest analysts with the most impeccable credentials and track records failed to predict the crash and the unprecedented economic depression that followed it. Newspapers even misled people. On Black Monday (24 October 1929) when the market collapsed The New York Times wrote, "Rally at close cheers brokers, bankers optimistic." Nearer home even our media continues making comments such as this.

Robert Barsky and Bradford De Long wrote in an article entitled "Bull and Bear Markets in the Twentieth Century": "Major bull and bear markets were driven by shifts in assessments of fundamentals; investors had little knowledge of crucial factors, in particular the long run dividend growth rate and their changing expectations of average growth plausibly lie behind the major swings of this century." I agree with this view.

Investments made on hearsay as opposed to those made on the basis of fundamental analysis are doomed from the start. It is shortsighted to buy a share whose intrinsic value is Rs. 30 at Rs. 250 on the expectation that it would grow to Rs. 500 in a year's time. Its intrinsic fundamental value is what it should be purchased at. If its market price is below Rs. 30 buy it, but not if it is any higher.